

Question 1/50

Marks: 02

Total revenue minus explicit cost is equal to:

- a) operating profit
- b) accounting profit
- c) gross profit
- d) economic profit

Correct Answer: b) accounting profit

Question 2/50

Marks: 02

Which of the following is NOT a feature of monopolistic competition?

- a) Identical products
- b) Differentiated products
- c) A large number of firms
- d) Non-price competition

Correct Answer: a) Identical products

Question 3/50

Marks: 02

Which of the following is a basic economic problem?

- a) Unlimited wants and scarce resources
- b) Unemployment and inflation
- c) Lower incomes and higher taxes
- d) Balance of payment deficits and recession

Correct Answer: a) Unlimited wants and scarce resources

Question 4/50

Marks: 02

Ruritania is currently producing 70 units of consumer goods.

The opportunity cost of producing 50 more units of consumer goods would be _____ units of capital goods.

- a) 40
- b) 120

- c) 60
- d) 80

Correct Answer: d) 80

Question 5/50

Marks: 02

The cross elasticity of demand for complementary goods is always:

- a) positive
- b) negative
- c) zero
- d) infinity

Correct Answer: b) negative

Question 6/50

Marks: 02

A price floor set above the market equilibrium price is likely to cause:

- a) constant demand
- b) excess demand
- c) constant supply
- d) excess supply

Correct Answer: d) excess supply

Question 7/50

Marks: 02

A firm, in the short run, would stop production if:

- a) marginal cost equals marginal revenue
- b) total revenue is less than total fixed cost
- c) total cost equals total revenue
- d) total revenue is less than total variable cost

Correct Answer: d) total revenue is less than total variable cost

Question 8/50

Marks: 02

Which TWO of the following statements are NOT true for the planned economic system?

- a) Auto-adjusted price mechanism
- b) Presence of consumer sovereignty
- c) Less duplication of resources
- d) Productive resources are owned by the state

Correct Answers: a) and b)

Question 9/50

Marks: 02

Which TWO of the following features are more likely to be found in a free-market economy than in a planned economy?

- a) Increase in competition among firms
- b) An incentive to innovate
- c) An even distribution of wealth
- d) Production of goods for the benefit of society as a whole

Correct Answers: a) and b)

Question 10/50

Marks: 02

Which TWO of the following are held constant along the demand curve?

- a) Income
- b) Consumer preference
- c) Quantity
- d) Price

Correct Answers: a) and b)

Question 11/50

Marks: 02

If the demand curve for a firm's output is perfectly elastic, then the firm is:

- a) monopolistically competitive
- b) perfectly competitive
- c) an oligopolistic
- d) a monopolist

Correct Answer: b) perfectly competitive

Question 12/50

Marks: 02

Which TWO of the following factors would cause the supply curve to shift to the left?

- a) The price of input increases
- b) The price of the good decreases
- c) The government imposes higher production taxes
- d) Prices of complements go down

Correct Answers: a) and c)

Question 13/50

Marks: 02

Which of the following measures is likely to boost a country's rate of economic growth?

- a) Tax cuts
- b) Decrease in government spending
- c) Reduction in subsidies
- d) Reduction in tax rebates

Correct Answer: a) Tax cuts

Question 14/50

Marks: 02

Which of the following is regarded as 'Fiat money'?

- a) Gold
- b) Gold standard
- c) US dollar
- d) Credit card

Correct Answer: c) US dollar

Question 15/50

Marks: 02

Slow economic growth and high unemployment refer to:

- a) stagflation
- b) wage spiral inflation

- c) deflation
- d) hyper inflation

Correct Answer: a) stagflation

Question 16/50

Marks: 02

Which TWO of the following are examples of contractionary monetary policy?

- a) Decrease in reserve to be maintained with the central bank
- b) Decrease in spending on infrastructure
- c) Increase in short-term interest rates
- d) Increase in sales of government securities

Correct Answers: c) and d)

Question 17/50

Marks: 02

Natural rate of unemployment is the combination of:

- a) frictional and structural
- b) cyclical and structural
- c) frictional and cyclical
- d) frictional and seasonal

Correct Answer: a) frictional and structural

Question 18/50

Marks: 02

Murad pays Rs. 100 tax on Rs. 1,000 income, Sohail pays Rs. 200 on Rs. 800. Identify the tax:

- a) Progressive
- b) Regressive
- c) Equitable
- d) Proportional

Correct Answer: b) Regressive

Question 19/50

Marks: 02

Which of the following is NOT a function of the central bank?

- a) Acting as a banker for the federal government
- b) Making loans to banks
- c) Regulating the money supply
- d) Lending funds to private businesses

Correct Answer: d) Lending funds to private businesses

Question 20/50

Marks: 02

A Pakistani resident invests in a US company. This will be recorded in Pakistan as:

- a) debit in the capital account
- b) credit in the capital account
- c) debit in the current account
- d) credit in the current account

Correct Answer: a) debit in the capital account

Question 21/50

Marks: 02

Which TWO of the following constitute injections into the circular flow of income?

- a) Imports
- b) Investment
- c) Government expenditure
- d) Savings

Correct Answers: b) and c)

Question 22/50

Marks: 02

Which TWO normally happen in the recession phase of the business cycle?

- a) Fall in national output
- b) Rise in unemployment
- c) Rise in wages
- d) Rise in inflation

Correct Answers: a) and b)

Question 23/50

Marks: 02

Which of the following is NOT part of GDP?

- a) Company profit
- b) Salaries of school teachers
- c) Investment expenditure
- d) Net income from abroad

Correct Answer: d) Net income from abroad

Question 24/50

Marks: 02

Which TWO might cause an upward shift in the consumption function?

- a) Decrease in tax rates
- b) Decrease in consumer confidence
- c) Reduction in interest rates
- d) Reduction in supply of credit

Correct Answers: a) and c)

Question 25/50

Marks: 02

The accelerator theory states that investment depends on:

- a) savings
- b) output
- c) interest rate
- d) bank lending

Correct Answer: b) output

Question 26/50

Marks: 02

Which is a disadvantage of a partnership?

- a) Strict regulation
- b) Complex formation
- c) Complex dissolution
- d) Equal capital contribution

Correct Answer: c) Complex dissolution

Question 27/50

Marks: 02

Organizational objectives are found in:

- a) Board minutes
- b) Appraisal forms
- c) Vision and mission statements
- d) Financial statements

Correct Answer: c) Vision and mission statements

Question 28/50

Marks: 02

An advantage of sole proprietorship is:

- a) Limited liability
- b) Flexibility and direct control
- c) Easier borrowing
- d) No regulations

Correct Answer: b) Flexibility and direct control

Question 29/50

Marks: 02

Shareholders elect the:

- a) Board of Stakeholders
- b) Committee
- c) Board of Directors
- d) Council

Correct Answer: c) Board of Directors

Question 30/50

Marks: 02

Which TWO are social-work organizations?

- a) Non-profit organizations
- b) Private organizations

- c) Clubs and societies
- d) Commercial organizations

Correct Answers: a) and c)

Question 31/50

Marks: 02

Which is NOT a feature of a limited company?

- a) Unlimited liability
- b) Government restrictions
- c) Issue of shares
- d) Separate legal identity

Correct Answer: a) Unlimited liability

Question 32/50

Marks: 02

Which TWO techniques result in effective goal setting?

- a) Top-down goal setting
- b) Positive goal statements
- c) Feedback system
- d) Setting boundaries

Correct Answers: b) and c)

Question 33/50

Marks: 02

Which is NOT a core business value?

- a) Accountability
- b) Welfare activities
- c) Integrity
- d) Excellence

Correct Answer: b) Welfare activities

Question 34/50

Marks: 02

Selling invoices at a discount is called:

- a) Receivable factoring
- b) Overdraft
- c) Commercial paper
- d) Trade credit

Correct Answer: a) Receivable factoring

Question 35/50

Marks: 02

Debt financing is preferred:

- a) To avoid sharing control
- b) To avoid tax
- c) To reduce risk
- d) To reduce losses

Correct Answer: a) To avoid sharing control

Question 36/50

Marks: 02

Which is NOT a feature of preference shareholders?

- a) More voting rights
- b) Prior dividends
- c) Fixed dividend
- d) Prior claim on assets

Correct Answer: a) More voting rights

Question 37/50

Marks: 02

Recycling is an example of:

- a) Integrity
- b) Environmental sustainability
- c) Profit sustainability
- d) Human rights

Correct Answer: b) Environmental sustainability

Question 38/50

Marks: 02

Globalization means:

- a) Integration of economies
- b) Limiting businesses
- c) Local trade
- d) National focus

Correct Answer: a) Integration of economies

Question 39/50

Marks: 02

Which TWO are features of functional structure?

- a) Less duplication
- b) Strong interdepartmental coordination
- c) Similar skills
- d) Functional specialization

Correct Answers: c) and d)

Question 40/50

Marks: 02

Ideal HR plan duration is:

- a) Three to five years
- b) Below three years
- c) Three to seven years
- d) Over three years

Correct Answer: a) Three to five years

Question 41/50

Marks: 02

Which is NOT a use of an information system?

- a) Control
- b) Decision-making
- c) Resource planning
- d) Performance comparison

Correct Answer: a)

Question 42/50

Marks: 02

Which is NOT on-the-job training?

- a) Manuals
- b) Apprenticeship
- c) Orientation
- d) Simulation

Correct Answer: d) Simulation

Question 43/50

Marks: 02

Purpose of VPN is to:

- a) Increase speed
- b) Free internet
- c) Replace hardware
- d) Secure private networks

Correct Answer: d) Secure private networks

Question 44/50

Marks: 02

Real-time processing means:

- a) OCR use
- b) Immediate update
- c) Magnetic devices
- d) Batch storage

Correct Answer: b) Immediate update

Question 45/50

Marks: 02

Identifying and satisfying consumer needs is:

- a) Branding
- b) Accounting

- c) Marketing
- d) Selling

Correct Answer: c) Marketing

Question 46/50

Marks: 02

Manufacturing then packaging is:

- a) Process-based
- b) Customer-based
- c) Product-based
- d) Geographical

Correct Answer: a) Process-based

Question 47/50

Marks: 02

Frequently purchased goods are:

- a) Convenience products
- b) Specialty products
- c) Industrial products
- d) Shopping products

Correct Answer: a) Convenience products

Question 48/50

Marks: 02

Unbroken line of authority is:

- a) Span of control
- b) Chain of command
- c) Chain reaction
- d) Hierarchy

Correct Answer: b) Chain of command

Question 49/50

Marks: 02

Objective of conventional banking is to:

- a) Eliminate interest
- b) Charity
- c) Earn profit through interest
- d) Profit sharing only

Correct Answer: c) Earn profit through interest

Question 50/50

Marks: 02

Number of subordinates managed is:

- a) Short structure
- b) Tall structure
- c) Span of control
- d) Control ratio

Correct Answer: c) Span of control